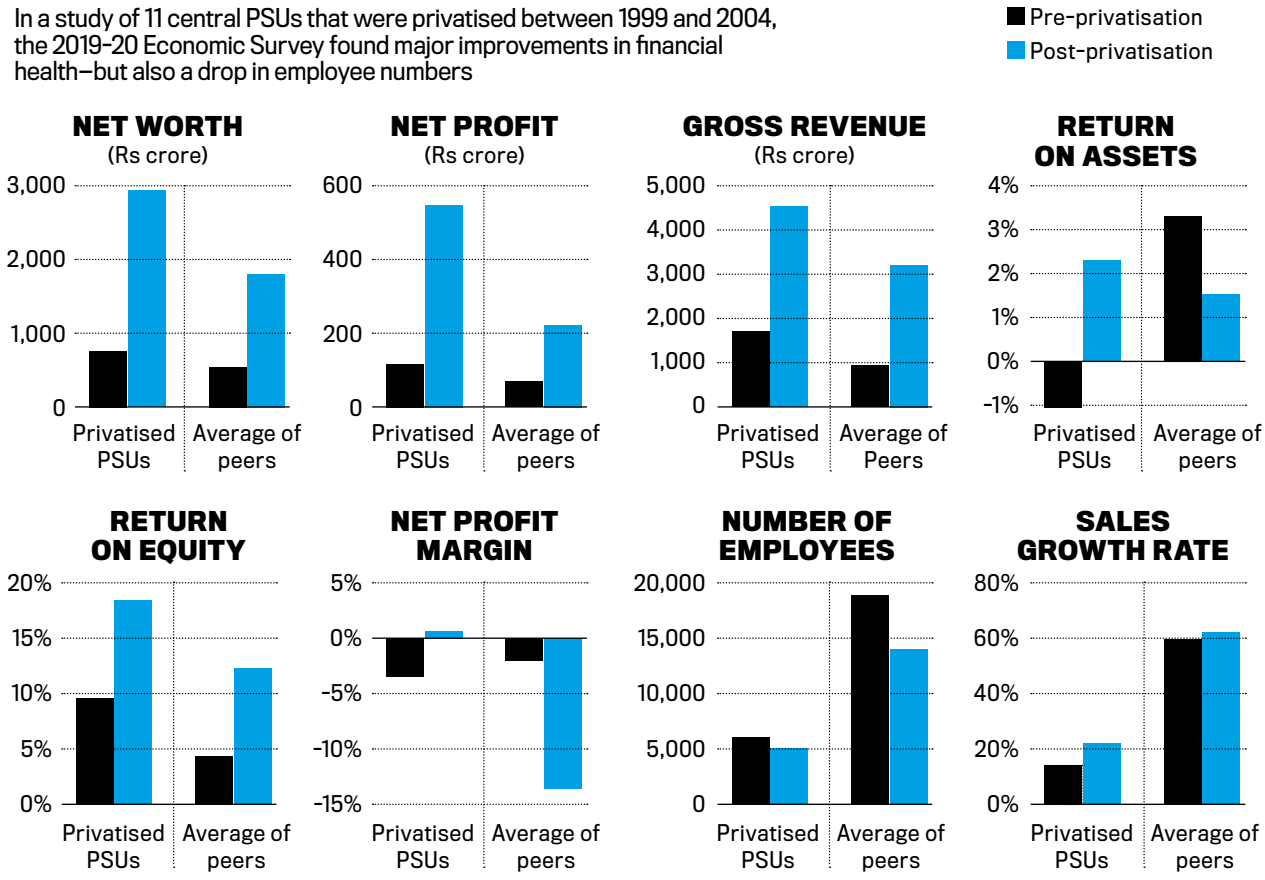
BEFORE AND AFTER

In a study of 11 central PSUs that were privatised between 1999 and 2004, the 2019-20 Economic Survey found major improvements in financial health—but also a drop in employee numbers



Note: The performances of the privatised PSUs and their peers were compared over 10-year periods before and after the year of privatisation

Source: Economic Survey 2019-20

Graphics by TANMOY CHAKRABORTY

pushback from employee unions. On the morning of January 27, the day DIPAM was to officially hand over Air India to the Tata Group, officials attended a virtual hearing of the Madras High Court. The court had taken up a petition by an employees' union against the sale of Air India, citing worries about the future welfare of current workers. Worried that employee activism and litigation could scupper the sale, the government agreed to almost all the union's demands in this particular case, including the continuation of medical benefits for retiring and retired Air India employees, the encashment of leaves, and so on.

Employee unions are almost never in favour of divestment. Major reasons include job security and pay levels. "PSU employees want to stay [in the public sector] because they get three times the salary of their counterparts in the private sector," says Nilesh Shah, MD of Kotak Mahindra Asset Management. "The average BPCL salary is Rs 20 lakh per annum—the average private sector employee makes a third of that."

ON JANUARY 27, THE DAY THE CENTRE WAS TO HAND OVER AIR INDIA TO THE TATA GROUP, DIPAM OFFICIALS ATTENDED A VIRTUAL HEARING OF THE MADRAS HIGH COURT BECAUSE OF A PETITION FROM THE EMPLOYEES' UNION CHALLENGING THE SALE

Another systemic problem is the complexity of PSU balance sheets, which makes it difficult to value such firms. In addition to the massive debt they often carry, many government undertakings also come bundled with unwanted assets. Air India again is a good example—the sale required the airline's non-core assets (including real estate like Centaur Hotel) and about Rs 51,000 crore of its debt to be partitioned off into an